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Appraisal Report

Supriag Technical and Procurement Limited

SECTION 1: CLIENT INFORMATION			
Application date	19/04/2022		
Customer name	Supriag Technical and Procurement Limited		
Contact address (physical address and other contact details)	Business: +260 955 839526 149 Luella Street, Nkana East Zambia E-Mail: supriag@zamnet.zm		
Shareholders	Name	Nationality	Shares (%)
	Loreen Banda	Zambian - 206541/16/1	50
	Moffat Banda	Zambian - 216541/52/1	50
Directors	Name		Nationality
	Loreen Banda		Zambian - 206541/16/1
	Moffat Banda		Zambian - 216541/52/1
	Moffat Banda		Zambian - 216541/52/1
Company reg. no.	120040054256	Years in business	17 years
Line of business	General Supply		
Industry	Mining and quarrying	Sector	MiningQuarrying
Amount sought	ZMW38,500.00	Tenor	30 days
Facility Type	Invoice Discounting	Purpose	Meeting operational demands

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Conditions	Inde to be added/remain as co-signatory to clients bank account		
	Client to instruct their bankers to transfer the outstanding amount to India upon receipt of payment from the off taker		
	Inde to prorate fees should repayment be made any day between the 30th and 60th day		
	Directors of company to give unlimited personal guarantees		
	Entire value of receivables to be assigned to Inde		
Processing rate	8.00	Facility to invoice ratio	0.37
Discounting rate	8.00		
Rollover rate	12.50		
Facility due date			
Review Date			
Financial year end	12		
CRB search	No Outstanding Loans		
PACRA search	Consistent with Submitted Documents		
Comments from Credit	Facility recommended for approval.		

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SECTION 2: PREVIOUS INDE FACILITIES						
Type of Facility		Currency	Approved Limit	Disbursed Amount	Maturity Date	Date Fully Repaid
1	Invoice Discounting	ZMW	40,000.00	40,000.00	12/06/2022	
2	Invoice Discounting	ZMW	35,000.00	35,000.00	20/06/2021	05/05/2021
3	Invoice Discounting	ZMW	44,000.00	44,000.00	11/06/2021	08/06/2021
4	Invoice Discounting	ZMW	35,000.00	35,000.00	07/09/2021	26/08/2021
5	Invoice Discounting	ZMW	35,000.00	35,000.00	05/05/2022	12/04/2022
Additional Comments: Excellent payment history Please note that the running facility will be settled as soon as MCM pays.						

SECTION 3: HR AT COMPANY			
Number of employees		Total	Last Update
Casual employees	Permanent employees		
0	2	2	02/02/2022

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SECTION 4: DUE DILIGENCE

Off taker	Mopani Copper Mines Plc Mopani Copper Mines PLC is a mining company registered in Zambia owned by ZCCM-IH (10%),Glencore PLC(73%) and First Quantum Minerals Ltd (16.9) as at December 2017. Mopani Copper Mines Plc was originally part of Zambia Consolidated Copper Mines Limited (ZCCM) and was state-owned until its privatization in 2000. In April 2000, Mopani purchased the ZCCM assets at Mufulira and Nkana, consisting of the underground mine, concentrator, smelter, refinery, and cobalt plant from the government. Following privatization, the Zambian Government retained a stake in the mining industry through ZCCM Investments Holdings plc (ZCCM-IH) which is an investments holdings company, quoted on the Lusaka, London and Euronext stock exchanges. Many of its investments are held in the copper mining sector of Zambia. It was important to find a name that retained the acronym “MCM” after privation, because MCM is the London Metal Exchange listed name for copper produced at Mufulira Refinery. Mufulira copper is considered amongst the purest copper in the world.
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Client	General Details Supriag Technical & Procurement Limited is a wholly Zambian owned company Limited by shares. The company was incorporated in 2006. The company offers the following services ; - Mechanical & Electrical Engineers - Labour Hire – Artisans, Mechanics, Foremen, Planners all trades. - Plant Maintenance - Fabrication works - Civil Engineering - General Civil services (Building & Maintenance, Carpentry, Plumbing & Painting) - Mechanical construction, installation and commissioning. - Rehabilitation of valves, Gearboxes, Pumps. - Plant demolition - Repair of machine tools - Plant audits – restricted to mechanical and electrical trades In addition, The company supplies the following products: - Mechanical hardware supplies e.g Gear Boxes, Conveyor rollers (all sizes), Vacuum pumps, David brown couplings (all sizes), etc. - Electrical hardware supplies e.g Flow and Meggar meters, Voltage and AMP meters, Fuses (all sizes), Bulbs (all types and sizes), Electrical fluorescence f Company Details Summary Date of Incorporation: 5/2/2006 12:00:00 AM Physical Address: 149 Luella Street, Nkana East Zambia Email Address: supriag@zamnet.zm TPIN: Postal Address: 149 Luella Street, Nkana East Zambia Company registration Number: 120040054256 Company Management Details The Company is managed by Mr. Moffat Banda who happens to be the CEO of the Company. Mr. Banda manages the daily operations of the firm and is assisted by Lorraine Banda who also happens to be the shareholder and director in the company.
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SECTION 5: BANK ACCOUNT DETAILS AND STATISTICS

The business banks with and submitted bank statements summarized below:

Supriag Technical and Procurement Ltd - 9130000032

2021	DR (ZMW)	CR (ZMW)
November	267,901.63	392,264.80
December	395,107.97	433,954.92
2022	DR (ZMW)	CR (ZMW)
January	320,265.83	289,934.80
February	46,630.90	146,805.00
March	72,656.00	147,810.00
April	49,000.00	94,749.94
Total	1,151,562.33	1,505,519.46

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The analysis of the bank statement shows that Supriag has been active.
 The statement shows that most of the credits are payments from Mopani Copper Mines.
 Statement does not show a record of bounced cheques.
 Debits on the account were cash withdrawals made by the Directors Ms Loreen and Mr Banda Moffat.

SECTION 6: ABOUT THE TRANSACTION

The client is approaching Inde Credit Company Limited for a ZMW Invoice Discounting facility. The client has issued invoices worth ZMW104,225.00 to Mopani Copper Mines Plc.

The client is applying for an invoice discounting facility of ZMW38,500.00 for the following purpose:

- Meeting operational demands.

Vendor	Invoice Number	Value	Currency	Date	Due date	Payment Terms
Mopani Copper Mines Plc	1332	104,225.00	ZMW	3/3/2022	Sunday, April 3, 2022	30 days from Invoice date

SECTION 7: PRICING

The transaction will be priced as follows:

- Discount rate: 8.00% on ZMW38,500.00 for 30 days, prorated as appropriate.
- If payment is not received in 30 days, Inde will charge a further 12.50% on the outstanding balance every month of delay.

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SECTION 8: RISK ANALYSIS

- **Fraudulent risk:** This is averted by the fact the invoices have been confirmed with Mopani Copper Mines Plc.
- **Security risk:** A Deed of Assignment ceding full value of the Invoices described in Table 1, issued to Mopani Copper Mines Plc by Supriag Technical and Procurement Limited.
- **Payment delay:** The off taker honours its obligations 30-45 days after receiving Invoices from its suppliers of goods and services.
- **Diversion risk:** The risk is averted by the fact that an officer from Inde Credit Company Limited will remain co-signatory to the clients account until the facility is fully settled.
- **Off taker's default risk:** The risk is averted by the fact that Mopani Copper Mines Plc is an exceptional payer that honours its obligations 30-45 days from date of receiving an invoice.

SECTION 9: REGULATORY ENVIRONMENT

		Y/N
LARGE LOAN EXPOSURE (Statutory Instrument no. 96 of 1996)	FALLS UNDER THE CATEGORY OF LARGE LOAN EXPOSURE	N
	Exposure exceeds 10% of Regulatory Capital (RC)	N
	Facilities total to more than 25% RC	N
	Aggregate of all large loans exceeds 600% of RC	N
INSIDER LENDING (Statutory Instrument No. 97 of 1996)	FALLS UNDER THE CATEGORY OF INSIDER LENDING	N
	This Insider Exposure totals to more than 10% of RC	N
	All insider lending exceeds 100% of RC	N